Answer Key

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSEECO205 - INTERNATIONAL FINANCE

Part A – Multiple Choice (Answer Key)

1. **b)** Foreign Direct Investment
2. **c)** Increase interest rates
3. **d)** China
4. **b)** 1, 3, 2, 4
5. **d)** Assets for settling international payments
6. **c)** Commercial loans raised from non-resident lenders
7. **b)** Middle-income and creditworthy low-income countries
8. **b)** Guillermo Calvo
9. **b)** Currency internationalization
10. **b)** Moderate economic stability with high political risk

Part B – Short Answers (3 Marks Each)

11. Currency Appreciation

- Makes exports **expensive → reduces exports** (1 mark)
- Makes imports **cheaper → increases imports** (1 mark)
- Leads to **trade deficit** (1 mark)

12. International Fisher Effect (IFE)

- Difference in **interest rates = expected exchange rate change** (1.5 mark)
- Countries with **higher interest rates → currency depreciates** (1.5 mark)

13. Currency Convertibility – Opportunities

- Easier **international trade settlement** (1 mark)
- Attracts **foreign investment** (1 mark)
- Enhances **global competitiveness** (1 mark)

14. Why Central Banks Hold Reserve Currencies

- To **settle international payments** (1 mark)
- Maintain **exchange rate stability** (1 mark)
- Provide **confidence in economy** (1 mark)

15. MNCs and GDP Growth

- Increase **investment & capital inflow** (1 mark)
- Generate **employment** (1 mark)
- Transfer **technology & skills** (1 mark)

16. India’s Role in BRICS

- Promotes **South-South cooperation** (1 mark)
- Supports **New Development Bank (NDB)** (1 mark)
- Advocates **multipolar global order** (1 mark)

17. Absolute vs Relative PPP

- **Absolute PPP:** Exchange rate = price level difference (1.5 mark)
- **Relative PPP:** Exchange rate changes based on **inflation differences** (1.5 mark)

18. Risks of Excessive FPI

- **Market volatility** (1.5 mark)
- Sudden capital outflows (**financial instability**) (1.5 mark)

19. International Finance & Trade

- Provides **foreign exchange** (1 mark)
- Facilitates **payments & credit** (1 mark)
- Reduces **transaction risks** (1 mark)

20. Hedging vs Speculation

- **Hedging:** Reduces risk (1.5 mark)
- **Speculation:** Takes risk for profit (1.5 mark)

21. Volatile Capital Flows

- Causes **stock market fluctuations** (1 mark)
- Leads to **bubbles and crashes** (1 mark)
- Affects **investor confidence** (1 mark)

22. Role of G20

- Promotes **global economic stability** (1 mark)
- Supports **sustainable development goals** (1 mark)
- Coordinates **financial policies** (1 mark)

23. International Financial Centre (IFC)

- A hub for **global financial services** (1 mark)
- Facilitates **cross-border investments** (1 mark)
- Example: Singapore, London (1 mark)

Part C – Short Essays (6 Marks Each)

24. G20 vs BRICS

Aspect	G20	BRICS
Members	Developed + Emerging	Emerging economies(1.5 mark)
Focus	Global financial stability	Development cooperation(1.5 mark)
Approach	Policy coordination	Institutional alternatives (NDB) (1.5 mark)

Conclusion:
G20 is broader; BRICS is more focused on emerging economies.(1.5 mark)

25. Trade, Business & Finance Relationship

- **International Trade:** Exchange of goods/services (2 mark)
- **International Business:** Includes trade + FDI (2 mark)
- **International Finance:** Supports both via **funds & currency exchange** (2 mark)

All are **interdependent**

26. Flexible Exchange Rate System

Merits:

- Automatic adjustment (1mark)
- No need for large reserves (1 mark)
- Independent monetary policy (1 mark)

Demerits:

- Exchange rate volatility (1mark)
- Uncertainty in trade (1mark)
- Speculation risks (1mark)

27. Currency Convertibility Impact

- Boosts **exports & imports** (2 mark)
- Encourages **FDI & FPI** (2 mark)
- Improves **economic integration** (2 mark)

28. Balance of Payments (BoP)

1. **Current Account** (1mark)
    - Trade balance (1mark)
    - Services, remittances (1mark)
2. **Capital Account** (1mark)
    - FDI, FPI, loans (1mark)
3. **Financial Account**
    - Investment flows (1mark)

29. Rupee Denominated Bonds

- Bonds issued in **Indian Rupees (₹)** (1mark)
- Foreign investors bear **exchange risk** (1mark)
- Example: **Masala Bonds** (1mark)

Features:

- Reduces currency risk for India (1.5 mark)
- Encourages foreign investment (1.5 mark)

30. Role of IMF

- Maintains **global monetary stability** (1.5 mark)
- Provides **financial assistance** (1.5 mark)
- Monitors **exchange rates** (1.5 mark)
- Offers **policy advice**(1.5 mark)